

Financial Risk Management & Risk Appetite Policy

Policy ID: FIN-RSK-001 **Version:** 1.0 **Effective:** 27 Sep 2026

Owner: Chief Risk Officer

Status: Internal / fictional policy for the FINOP demonstration environment

Purpose

Provide a structured approach for identifying, assessing, monitoring, escalating, and reporting financial and operational risks.

Standards alignment note

Original policy language designed for the FINOP demo. The control structure is informed by widely used principles for internal control, risk management, financial reporting, and revenue recognition, including COSO-style control concepts and IFRS-style revenue principles; it is not a reproduction of any proprietary standard and does not claim regulatory compliance.

1. Risk taxonomy

- Revenue risk, liquidity risk, credit/customer risk, operational risk, fraud risk, compliance risk, data quality risk, model risk, technology risk, and concentration risk.

2. Risk assessment

- Assess likelihood and impact using documented criteria.
- Risk owners must identify causes, indicators, existing controls, residual risk, and mitigation actions.
- Material changes in business activity require reassessment.

3. Risk appetite bands

Low. Routine monitoring; standard controls.

Moderate. Enhanced monitoring and documented mitigation.

High. Management review, defined action plan, and shorter monitoring cycle.

Critical. Immediate escalation, containment where appropriate, executive oversight, and documented resolution.

4. Key risk indicators

- Revenue decline versus baseline.
- Unusual order-volume changes.
- High customer/product/location concentration.
- Refund-rate spikes.
- Large discount deviations.
- Data-quality failures.
- Repeated control exceptions.

5. Concentration risk

- Management should monitor dependency on individual products, customers, categories, suppliers, or locations.
- A concentration finding is not itself evidence of loss; it indicates exposure that may warrant further analysis.

6. Escalation

- Material risks must have an owner and target resolution date.
- Risk reports must distinguish observed facts, management estimates, model outputs, and assumptions.

7. Model and analytics risk

- Forecasts and AI-generated findings must be treated as decision-support information.
- Model limitations, validation metrics, data coverage, and material assumptions must be documented.
- AI outputs must not override required human approvals.

8. RAG retrieval anchors

- Risk appetite
- Risk indicator
- Concentration risk
- Escalation
- Model risk
- Forecast limitation
- Risk owner

Document control: Review at least annually and whenever a material business, regulatory, accounting, technology, or risk change occurs. This document is not legal, accounting, tax, or regulatory advice.